

Discussion of *Information acquisition and the finance-uncertainty trap*

**Macroeconomic Modelling in Times of Uncertainty
Banca D'Italia**

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24/09/2026

Summary



► Research questions:

- * **Empirical:** Can we measure information acquisition (IA)? And overcome the endogeneity problem?
- * **Theoretical:** What is the economic intuition behind this feedback loop? Is it quantitatively important for the business cycle?

IA-related occupations from job vacancies ←

- **This paper:** Combine firm-level evidence using a novel measure of IA and exogenous variation in external financial news, and a calibrated general equilibrium model with credit constrained heterogeneous firms choosing IA endogenously before production.

My take

- ▶ **Contribution:** A new job-posting measure of firms' learning effort—and a quantitative account of how important the *finance-uncertainty trap* is in amplifying the business cycle.
- ▶ **Main results:**
 1. **Information → finance:** An exogenous loss of financial news worsens managerial forecasts and financing conditions, despite a rise in the share of information-related vacancies. (*imperfect substitutability of external vs internal information*)
 2. **Finance → information:** Tighter credit is associated with less learning and larger forecast errors, especially in industries reliant on external finance. Oil-news evidence is consistent with this link.
 3. **GE Macro mechanism:** Tighter credit reduces production scale and the return to learning. Less learning worsens resource allocation and lowers expected profits and firm values, tightening credit further. This feedback **amplifies and prolongs downturns** in the calibrated model.

Comments Overview

1. What can the new hiring measure teach us about information acquisition?
2. Whose information improves: managers', lenders', or both?
3. How much persistence does the feedback mechanism create?

I. Unpacking the information-posting share

- ▶ The job posting measure is a nice contribution on its own, and you provide a few convincing validation exercises.
- ▶ I think that it could be used further to dig deeper into the mechanism.
 1. Which occupational groups account for the decline in the information-posting share after credit tightening?
 2. A lower share means less information-related recruitment *relative to other recruitment*, not necessarily fewer information-related vacancies.
- ▶ **Suggestion:** Could you show which occupational groups drive the response to credit tightening, and how information-related and other vacancy counts respond separately?

II. Whose information matters: managers', lenders', or both?

- ▶ You explicitly acknowledge that news could ease financing by informing creditors or outside investors, even without improving managers' information.
- ▶ Then provide 3 pieces of evidence:
 1. Less news coverage ↑ share of IA-related vacancies, consistent with firms trying to replace external information with internal information production.
 2. Managerial forecast errors nevertheless ↑ consistent with that replacement being incomplete.
 3. News-predicted increases in managerial forecast errors are associated with tighter financing, after controlling for analyst forecast errors and other firm characteristics.
- ▶ 1+2 Taken together, this is convincing evidence that managers become less informed when news coverage falls, and that internal hiring does not fully replace the lost news.

II. Whose information matters: managers', lenders', or both?

- ▶ What remains less clear is how much of the financing response operates through the deterioration of managers' information, rather than through the same news loss directly affecting lenders and investors.
- ▶ Controlling for analyst forecast errors does not, in my view, fully separate the two channels.
 - * Analyst errors capture only part of what lenders and investors know, and the same news loss makes those errors worse.
 - * Predicting managers' errors from that same news shock and linking the predictions to financing restates the news effect.
 - * It does not show that the effect runs through managers.
- ▶ **Suggestion:** Compare firms that, before the shock, differ in how much their managers rely on outside news and in how much investors and lenders rely on coverage of that firm.
 - * FE should worsen where managers rely on outside news.
 - * Financing should tighten where investors rely on coverage.

III. How much persistence does endogenous learning generate?

- ▶ The simulated shocks are highly persistent (baseline financing shock $\rho_{\xi} = 0.97$, information cost shock $\rho_{\kappa} = 0.98$)
- ▶ Does endogenous learning also produce a **slow recovery** when the original disturbance fades quickly?
- ▶ The feedback operates through a **common continuation value and borrowing ceiling**; better information today does not give an individual firm a higher credit ceiling today.
 - * Future productivity and information costs are independent across firms and time.
 - * Individual firm's current information choice cannot change its continuation value or borrowing capacity.
- ▶ Persistence therefore cannot simply be attributed to firms retaining less knowledge from one period to the next. It must come through aggregate dynamics.
- ▶ **Suggestion:** Repeat the comparison under the same short-lived financing shock. Report the peak output loss and the half-life of the response.

Thank you!